

Accounting

1. Define Management? List Henry Foyal's 14 principles of management.

Ans: Management principles are the statements of fundamental truth based on logic which provides guidelines for managerial decision making and actions.

These principles are derived:- (1) On the basis of observation and analysis i.e. Practical experience of managers . (2) By Conducting experimental studies.

There are 14 principles of management described by Henri Fayol.

1. Division of work
2. Authority
3. Discipline
4. Unity of command
5. Unity of Direction
6. Subordination of individual interest to the general interest.
7. Remuneration
8. Centralization
9. Scalar chain
10. Order
11. Equity
12. Stability of tenure of personnel
13. Initiative
14. Esprit de corps.

2. What is motivation? Describe Maslow's Hierarchy of needs theory?

Ans: Maslow's Hierarchy of needs theory:

Abraham Maslow is well renowned for proposing the Hierarchy of needs. Theory in 1943. This theory is a classical depiction of human motivation. This theory on the assumption that there is a hierarchy of five needs within each individual. The urgency of these needs varies. These five needs are as follows-



Figure: Maslow's Need Hierarchy Model

1. Physiological needs: These are the basic needs of air, water, food, clothing and shelter. In other words, physiological needs are the needs for basic amenities of life.

2. Safety needs: Safety needs include physical, environmental and emotional safety and protection. For instance- Job security, financial security, protection from animals, family security, health security, etc.

3. Social needs: Social needs include the need for love, affection, care, belongingness, and friendship.

4. Esteem needs: Esteem needs are of two types: internal esteem needs (self-respect, confidence, competence, achievement and freedom) and external esteem needs (recognition, power, status, attention and admiration).

5. Self-actualization need: This includes the urge to become what you are capable of becoming/ what you have the potential to become. It includes the need for growth and self-contentment. It also includes a desire for gaining more knowledge. Social-service, creativity and being aesthetic. The self-actualization needs are never fully satiable. As an individual grows psychologically, opportunities keep cropping up to continue growing.

According to Maslow, individuals are motivated by unsatisfied needs. As each of these needs is significantly satisfied, it drives and forces the next need to emerge. Maslow grouped the five needs into two categories- Higher order needs and lower order needs. The physiological and safety needs constituted the lower order needs. These lower order needs are mainly satisfied externally. The social, esteem,

and self actualization needs constituted the higher order needs. These higher order needs are generally satisfied internally , i.e within an individual.

3.What is business? What are the features of business?

Ans: Business: Business is an economic activity, which is related with continuous and regular production and distribution of goods and services for satisfying human wants. Business means: -

- Buying and selling goods
- Transfer of goods and services
- An organisation or economic system where goods and services are exchanged for one another or for money
- The activity of making , buying or selling goods or providing services in exchange for money.

Economic activities with a view to earn profit are termed as business. Producing food for the family members, rearing poultry, cultivating vegetables etc are not business, But When a farmer cultivates paddy or grows vegetables to make a profit then it will be treated as business. Then, all the economic activities operated to earn profit shall be treated as business if it is done legally and in the right ways.

Features of business:

Characteristics or features of business are discussed in the following points:-

- Production or acquisition of goods
- sale or transfer of title
- Dealing in goods and services
- Regularity of dealing
- Profits of dealings
- Profits as reward for service rendered
- Uncertainty or risk about the future.

4.Briefly describe the advantages and disadvantages of joint stock companies.

Ans:-

Advantages:

1. Professional Expertise: Joint stock companies can attract top-tier managerial talent due to the potential for high salaries, benefits, and stock options, leading to better strategic decision-making.
2. Division of Labor: Larger companies can divide tasks and responsibilities among specialised managers, enhancing efficiency and expertise in various areas.
3. Access to Resources: Corporations can afford to invest in advanced technologies, research, and development, giving managers the tools to innovate and improve operations.

4. Scale of Operations: With access to substantial capital, joint stock companies can achieve economies of scale, reducing costs and increasing competitiveness.

5. Long-Term Planning: Corporate structures often enable long-term planning and stability, as they are not tied to the lifespan of individual owners.

Disadvantages:

1. Bureaucracy: As joint stock companies grow, layers of management can lead to bureaucratic inefficiencies, slowing decision-making and agility.

2. Lack of Personal Connection: Managers might become detached from individual shareholders and their concerns, potentially leading to decisions that prioritise short-term profits over broader interests.

3. Principal-Agent Problem: Managers might prioritise personal interests over shareholders' interests, leading to agency problems and potential conflicts of interest.

4. Communication Challenges: As the organisation grows, effective communication between different management levels can become challenging, leading to misunderstandings and misalignment.

5. Risk Aversion: Managers might be cautious to take risks due to the pressure to maintain stock prices and shareholder value, potentially hindering innovation and bold decision-making.

6. Short-Term Focus: Publicly traded companies often face pressure to deliver short-term profits to satisfy shareholders, which can sometimes hinder investments in long-term growth.

7. Complex Decision-Making: Involving multiple stakeholders, including shareholders, board members, and executives, can complicate decision-making processes and slow down responses to market changes.

It's important to note that the advantages and disadvantages of joint stock companies in management can be influenced by the company's size, industry, leadership style, and overall organisational culture.

5. Distinguish between a public limited company and private company.

Ans: (a) Private limited company

The company in which numbers of shareholders are limited to minimum two and maximum fifty and where the shares are not easily transferable is called a private limited company. In company act 1994 in Bangladesh states that "Private limited company is one which, by its articles, restricts the right of the members to transfer their shares, limits the number of its members to fifty, prohibits any invitation to the public to subscribe for any shares in or debenture of the company' which means only the members can buy the shares. The size of this type of limited company is usually smaller because of limited members and capital. According to law, the minimum numbers to be at least two in this type of company. Gradually , the numbers of private limited companies are increasing in Bangladesh.

(b)Public limited company

The company in which minimum numbers of members is seven and maximum is limited by the number of shares as mentioned in the memorandum of association, can make an invitation for subscription of shares and debentures, and shares are easily transferable is called a public limited company. Public Limited companies can increase the number of members of the company by changing the memorandum of association. As per law this type of company must have at least three directors.

6. Define industry and commerce?

Ans: Industry: The processes of extraction , production convention , processing or fabrication of products are described as industry. These products of industry are sold either for further transformation into finished goods or for ultimate consumption. Industry is the process of collecting natural resources, converting it to raw material and through processing the raw materials finished goods are prepared for use. Industry is mainly divided into five categories.

Commerce: The process of buying and selling and all those activities which facilitate trade, such as storing, grading, packaging , financing , insuring , transporting are called commerce. The principal function of commerce is to remove the hindrances of person, place, time, exchange and knowledge, in connection with the distribution commodities until they reach the consumers. By removing these hindrances commerce ensures a free and smooth flow of goods from producers to consumers.

7. Briefly describe Internal environment of Business.

Ans: Internal Environment: Environment which lies within the origin is known as internal environment. Internal factors are generally regarded as controllable factors. Internal factors include plans and policies, human resources, financial resources, corporate image, plant and machinery, labor management relationship, promoter's vision etc.

The following are the factors of internal environment:

1.Plans and policies: The plan and policies of the firm should be properly framed taking into consideration the objectives and resources of the firm. Proper plan and policies help the firm to accomplish its objectives.

2.Human resources: The survival and success of the firm largely depends on the quality of human resources. The social behaviour of the employees greatly affects the working of the business. The characteristics of human resource like skill, quality, morale, commitment can contribute to the success of the organisation.

3. Financial resource: Capital is the lifeblood of every business. Finance relates to money. A firm needs adequate funds to meet its working capital and fixed capital requirement. Financial factors like financial policies, financial policies, financial status(position) and capital structure influence the internal environment affecting its performance.

4.Corporate image: A firm should develop, maintain and enhance a good corporate image in the minds of employees , investors, customers etc. Poor corporate image is a weakness of the firm.

5. Plant and machinery: Plan and machinery is the internal part of the business firm. If the machines are obsolete or outdated, they should be replaced by a new one, or that adversely affects the business firm.

6.Labor management relation: These should be a smooth labor and management relationship. The management should understand the problems of their workers and gain confidence in them.The labor should be motivated by providing monetary and non-monetary incentives(benefits).

7.Promoter's vision: The promoter should have far sight vision of forecast opportunities and threats in the business so that the opportunities are properly grabbed and threats are diffused off in time.

8.Describe different types of industry in brief.

Ans: Industry: The processes of extraction , production convention , processing or fabrication of products are described as industry. These products of industry are sold either for further transformation into finished goods or for ultimate consumption.Industry is the process of collecting natural resources, converting it to raw material and through processing the raw materials finished goods are prepared for use. Industry is mainly divided into five categories.

-Genetic Industry: These are industries which, though dependent upon nature, require a greater application of human skill in their production. Products produced in this industry are used for further production processes. The enterprises engaged in agriculture, forestry and dish culture are examples of genetic industry. Though agriculture is dependent upon the nature and quality of

the soil and climate conditions, yet success in this line will very much depend upon the application of human skill and knowledge.

-Extractive Industry: Through this industry natural resources are being collected from nature, such as earth, air and water with comparatively little help from man. Mining, fishing, fruit gathering etc. are some examples of extractive industries.

-Construction industry: Through this industry roads and highways, bridges, buildings, dams, canals, culverts, etc are constructed. The process of laying out, fitting and connecting materials which have been already prepared is involved in these industries.

-Manufacturing Industry: This industry refers to the industry where labor and machinery is used to process raw material to make finished goods. Such as textile mills, spinning and weaving mills, flour mills, the making of machinery etc. Manufacturing industry may be like- 1.continuous industry 2.Assembly industry 3.Analytical industry 4.Synthetical industry 5.Assembly industries with similar components 6.Assembly industries with dissimilar components.

-Service enterprises: Business provides not only goods but also services. At every point in the economic system an infinite variety of services are furnished. Service Industry includes those economic activities which make the general life of an individual easy and comfortable. Production and distribution of Electricity, Gas, Banking And Health Services etc.

9.What is accounting ? Identify and describe the steps in the accounting process?

Ans:

Accounting is a systematic process of recording, summarising, analysing, and reporting financial transactions and information of an organisation. It helps in tracking the financial health, performance, and position of a business.

The accounting process typically involves the following steps:

1. Identify and Analyse Transactions: This step involves identifying and analysing all financial transactions that have occurred within the business. Transactions can include sales, purchases, expenses, investments, loans, etc.

2. Record Transactions: Once transactions are identified and analysed, they are recorded in the company's accounting records. This is done through journal entries, which capture the date, accounts involved, amounts, and a brief description of the transaction.

3. Post to Ledger: Journal entries are then posted to individual accounts in the general ledger. The general ledger contains separate accounts for each type of asset, liability, equity, revenue, and expense.

4. Prepare Trial Balance: After posting to the ledger, a trial balance is prepared. It lists all the account balances to ensure that debits equal credits. This step helps in identifying any errors or discrepancies in the recording process.

5. Adjusting Entries: Accrual-based accounting requires adjusting entries to account for revenues and expenses that have been earned or incurred but not yet recorded. This step ensures that financial statements reflect the correct financial position and performance of the business.

6. Prepare Adjusted Trial Balance: Once adjusting entries are made, an adjusted trial balance is prepared to ensure that all accounts have accurate balances, considering adjustments.

7. Prepare Financial Statements: Based on the adjusted trial balance, financial statements are prepared. These include the income statement (shows revenues and expenses, resulting in net income or loss), balance sheet (presents assets, liabilities, and equity), and cash flow statement (details cash inflows and outflows).

8. Closing Entries: At the end of the accounting period, temporary accounts (revenues, expenses) are closed by transferring their balances to the permanent equity accounts. This step prepares the accounts for the next accounting period.

9. Prepare Post-Closing Trial Balance: After closing entries, a post-closing trial balance is prepared. It ensures that only permanent accounts have balances, and it's the starting point for the next accounting period.

10. Financial Analysis and Interpretation: Finally, financial statements are analysed to understand the financial performance, position, and trends of

the business. This analysis helps in making informed decisions and planning for the future.

In summary, the accounting process involves identifying, recording, summarising, and reporting financial transactions and information in a systematic and organised manner to provide insights into a business's financial health and performance.

10. Differentiate between fixed cost and variable cost?

Ans:

Aspect	Fixed Costs	Variable Costs
Definition	Costs that remain constant regardless of production or sales volume.	Costs that change in proportion to production or sales levels.
Nature	Unaffected by changes in activity levels.	Fluctuate with changes in activity levels.
Examples	Rent, salaries, insurance premiums.	Raw materials, direct labour, utilities.
Behaviour	Remains consistent over different levels of production or sales.	Increases with higher production or sales, decreases with lower activity.
Impact on Profit	Fixed costs do not directly impact profit per unit.	Variable costs affect profit per unit.
Planning	Predictable and stable, aiding in budgeting.	More challenging to predict and plan for.
Business Strategy	Can be minimised through cost-cutting efforts, but may not lead to proportional savings.	Often managed closely for efficient production and cost control.

Short-Term Decisions	May influence decisions on facility utilisation or staffing levels.	Important when evaluating production changes or pricing strategies.
----------------------	---	---

This table highlights the key differences between fixed costs and variable costs, showcasing their distinct characteristics and implications for business operations and decision-making.

11. Beximco company has a unit selling price of Taka 400, variable costs per unit of Taka 260, and fixed costs of Taka 210,000. compute the break even point in units and in taka. compute the sales required in taka to earn net income of Taka 200,200.

Ans:

Given,

Unit Selling Price: Taka 400

Variable Costs per Unit: Taka 260

Fixed Costs: Taka 210,000

Net Income Desired: Taka 200,200

Contribution Margin per Unit = $400 - 260 = 140$ taka

Break Even Point (in units) = $210,000 / 140 = 1500$ units

Break Even Point (in Taka) = $1500 \times 400 = 600,000$ Taka

We know,

Net Income = SALES - Total Costs

Total Costs = Fixed Costs + Variable Costs * Sales

Let,

Sales = A

now,

$A - (\text{Fixed Costs} + \text{Variable Costs} \times A) = \text{Net Income}$

$A - (210,000 + 260 \times A) = 200,200$

$A - 260 \times A = 410,200$

$A \times (1 - 260) = 410,200$

$A = 410,200 / -259$

$A \approx 1583.78$ Taka

So, to earn a net income of Taka 200,200 the company would need to achieve sales of Approximately Taka 1583.78.

Answer: Break even point in units: 1500 units

Break even point in taka: 600000 taka

Required sales: 1583.78 taka

12. What is the accounting equation ? Briefly describe liabilities and owner's equity?

Ans:

The accounting equation is the fundamental concept in accounting that illustrates the relationship between a company's assets, liabilities, and owner's equity. It can be stated as: $\text{Assets} = \text{Liabilities} + \text{Owner's Equity}$. This equation ensures that a company's resources (assets) are financed by either external sources (liabilities) or internal sources (owner's equity).

Liabilities refer to the company's obligations or debts to external parties. These obligations arise from borrowing money, purchasing goods or services on credit, or other forms of indebtedness. Common examples of liabilities include accounts payable, loans, and accrued expenses. Liabilities represent the claims of creditors against the company's assets.

Owner's Equity, also known as shareholders' equity or net worth, represents the residual interest in the company's assets after deducting liabilities. It includes the initial investments made by the owner(s) and any retained earnings generated by the company. Owner's equity reflects the ownership stake and financial stake that the company's owners have in the business. It's a measure of the company's net value, representing the assets that belong to the owners.

In summary, the accounting equation illustrates the interrelationship between a company's assets, liabilities, and owner's equity. Liabilities represent external obligations, while owner's equity signifies the residual value attributable to the owners' investment and retained earnings.

13. Barone's repair shop was started on May 1, 2022 by Nancy Barone. A summary of May transactions is presented below .

- 1. Invested \$10,000 cash to start the repair shop.**
- 2. Purchased equipment for \$5,000 cash.**
- 3. paid \$400 cash for May office rent.**
- 4. paid \$500 cash for supplies.**
- 5. Incurred \$250 of advertising costs in the Beacon News on account.**
- 6. Received \$5,100 in cash from customers for repair service.**
- 7. withdraw \$1000 cash for personal use.**
- 8. paid part-time employee salaries \$2000.**
- 9. paid utility bills \$140.**

10. provided repair service on account to customers \$750.
 11. Collected cash of \$120 for services billed in transaction(10).

Instructions:

a) prepare a tabular analysis of the transactions,using the following column headings: cash, Accounts Receivable, supplies, equipment, Accounts Payable, N.Barone, capital; N.Barone Drawing; Revenues and Expenses.

Ans:

Tebular Analysis for the month of May

Date	Asset =				Liabilities + Owner's Equity					Explanation
	Cash (+)	Account Receivable (+)	Equipment (+)	Supply (+)	Account Payable (+)	Capital (+)	Revenue(+)	Expense (-)	Withdraw(-)	
1	"+\$10000"					"+\$10000"				Invenstment
2	"-\$5000"		"+\$5000"							Paid cash
3	"-\$400"							"-\$400"		Rent Expense
4	"-\$500"			"+\$500"						Paid Cash
5					"+\$250"			"-\$250"		Advertising Expense
6	"+\$5100"						"+\$5100"			Service Revinue
7	"-\$1000"								"-\$1000"	Drawings
8	"-\$2000"							"-\$2000"		Salary Expense
9	"-\$140"							"-\$140"		Utility Expense
10		"+\$750"					"+\$750"			Service Revinue
11	"+\$120"	"-\$120"								Service Revinue
Total	"+\$12310"				"+\$12310"					

b) From an analysis of the owner's equity columns, compute the owner's Equity Statement and Income statement for May,2022.

Ans:

Income Statement
For the month of May

Particular	Amount	Amount
<u>Revenues:</u>		
Service Revenue	+\$5100	
	<u>+\$ 750</u>	
		<u>\$5850</u>
Total Revenue		+\$5850
 <u>Expenses:</u>		
Rent	-\$400	
Advertising	-\$250	
Salary	-\$2000	
Utility	<u>-\$140</u>	
		<u>-\$2790</u>
Net Income		<u>\$3060</u>

Owner's Equity Statement

Particular	Amount	Amount
Initial Capital	0	
Investment	+\$10,000	
Net Income	+\$ 3060	
		<u>+\$13,060</u>
		+\$13,060
 Drawings	-\$1000	
		<u>-\$1000</u>
Owner's Equity		<u>\$12060</u>

14. Dr. Sayed Ahmed is a licensed dentist. During the first month of the operation of his business, the following events and transactions occurred.

April-1: Hired a secretary-receptionist at a salary of \$600 per week payable monthly.

April-2: Paid office rent for the month \$1000.

April-3: Purchased dental supplies on account from smile company \$4000.

April-10: Provided dental services and billed insurance companies \$5100.

April-11: Received \$1,000 cash advance from Laz Pharma for an implant.

April-1: Invested \$40,000 cash.

I-20: Received \$2100 cash for services completed and delivered to John Abbas.

April-30: Paid secretary-receptionist for the month \$2,400.

April-30: Paid \$1,600 to smile company for accounts payable due.

Sayed Ahmed uses the following chart of accounts: No. 101 cash, No. 112 Accounts Receivable, No. 126 supplies, No. 201 accounts payable , No. 205 unearned revenue , No. 301 sayed Ahmed, capital; No. 400 service revenue , No. 726 salaries expense, and No. 729 rent expense.

Instructions:**a) journalize the transactions.****Ans:**

General Journal for the month of April:

Date	Particular Account	Debit(Dr)\$	Credit(Cr)\$
April-1	No.101 Cash(Dr) No.301 Sayed Ahmed Capital(Cr) (Invested in Cash)	\$40,000	\$40,000
April-2	No.726 salaries Expense(Dr) No.101 cash(Cr) (Payable Salary)	\$600	\$600
April-2	No.729 Rent expense(Dr) No.101 cash(Cr) (Paid Rent in Cash)	\$1000	\$1000
April-3	No.126 Supplies(Dr) No.201 Accounts payable(Cr) (Purchased Supplied on Account)	\$4000	\$4000
April-10	No.112 Accounts Receivable(Dr) No.400 Service Revenue(Cr) (Provided services on account)	\$5,100	\$5,100
April-11	No.101 Cash (Dr) No.205 Unearned Revenue(Cr) (Received Unearned Revenue)	\$1000	\$1000
April-20	No.101 Cash(Dr) No.400 Service Revenue(Cr) (Received Service Revenue)	\$2100	\$2100
April-30	No.726 Salaries Expense(Dr) No.101 Cash(Cr) (paid salary in cash)	\$2400	\$2400
April-30	No.201 Accounts Payable (Dr) NO.101 Cash(Cr) (paid due)	\$1600	\$1600

b) post to the ledger accounts(using T account).

Ans:

T Accounts

No. 101 Cash

April-1: 40000	April-2 : 600
April-11: 1000	April-2 : 1000
April-20: 2100	April-30 : 2400
	April-30 : 1600
	Ending Balance c/d <u>37500</u>
<u>43100</u>	43100

No. 301 Sayed Ahmed Capital

Ending Balance c/d 40000	April-1 : 40000
<u>43100</u>	<u>40000</u>

No. 726 Salaries Expenses

April-2: 600	
April-30: 2400	
	Ending Balance c/d <u>3000</u>
<u>3000</u>	3000

No. 729 Rent Expenses

April-2: 1000	
	Ending Balance c/d <u>1000</u>
<u>1000</u>	1000

No. 126 Supplies

April-3: 4000	
	Ending Balance c/d <u>4000</u>
<u>4000</u>	4000

No. 201 Account Payable

April-10: 5100	
	Ending Balance c/d <u>5100</u>
<u>5100</u>	5100

No. 112 Account Receivable	
April-10: 5100 _____	Ending Balance c/d <u>5100</u>
5100	5100

No. 400 Service Revenue	
Account Balance c/d <u>7200</u>	April-10 : 5100 April-20 : 2100 _____
7200	7200

No. 205 Unearned Revenue	
Ending Balance c/d <u>1000</u>	April-11 : 1000 _____
1000	1000

c) Prepare a trial balance on April 30, 2022.

Ans:

Trial Balance:

Date	Particular Account	Debit	Credit
April-1	No,101 Cash account	\$37,500	
April-2	No,301 Soyed Ahmed capital		\$40000
April-2	No,726 Salaries Expense	\$3000	
April-3	No,729 Rent Expense	\$1000	
April-10	NO,126 Supplies	\$4000	
April-11	No,201 Account Payable		\$2400
April-20	No,112 Account Receivable	\$5100	
Aprill-30	NO,400 Service Revenue		\$7200
Aprill-30	No,205 Unearned Revenue		\$1000
Total		\$50,600	\$50,600

